

perform the two functions of seller and buyer; for there is no rule that a trustee, whether for sale or otherwise, may not *purchase from his cestui que trust* (b). Hence, while a purchase by a trustee conducting the *sale*, either personally or by his agent, cannot stand, a purchase by a trustee from a *cestui que trust* of the interest of the latter in the trust may stand, if the trustee can show that the fullest information and every advantage were given to the *cestui que trust* (c). However, a purchase by a trustee from his *cestui que trust* is at all times a transaction of great nicety, and one which the Courts will watch with the utmost jealousy (d) [and will set aside if the consideration was insufficient (e)]; and the exception runs, it is said, so near the verge of the rule, that it might as well have been included within it (f).

8. **The relation of trustee and cestui que trust must first be dissolved.** — Before any dealing with the *cestui que trust*, the relation between the trustee and *cestui que trust* must be *actually* or *virtually* dissolved. The trustee may, if he pleases, retire from the office, and qualify himself for becoming a purchaser by divesting himself of that character (g), or if he retain the situation, the parties must be put so much at arm's length, that they agree to stand in the adverse situations of vendor and purchaser (h), the *cestui que trust* distinctly and fully understanding that he is selling to the trustee, and consenting to waive all objections upon that

(b) *Ex parte Lacey*, 6 Ves. 626, per Lord Eldon; *Coles v. Trecothick*, 9 Ves. 244, 246, per eundem; *Gibson v. Jeyes*, 6 Ves. 277, per eundem; *Downes v. Grazebrook*, 3 Mer. 208, per eundem; *Randall v. Errington*, 10 Ves. 426, per Sir W. Grant; *Whichcote v. Lawrence*, 3 Ves. 750, per Lord Rosslyn; *Sanderson v. Walker*, 13 Ves. 601, per Lord Eldon; *Ayliffe v. Murray*, 2 Atk. 59, per Lord Hardwicke; *Kilbee v. Sneyd*, 2 Moll. 214, per Sir A. Hart.

(c) *Denton v. Donner*, 23 Beav. 285; *Luff v. Lord*, 34 Beav. 220.

(d) *Coles v. Trecothick*, 9 Ves. 244, per Lord Eldon; *Ex parte Lacey*, 6 Ves. 626, per eundem; *Downes v. Graze-*

brook, 3 Mer. 209, per eundem; *Plowright v. Lambert*, 52 L. T. N. S. 646.

[(e) *Mockerjee v. Mockerjee*, 2 L. R. Ind. App. 18.] *Plowright v. Lambert*, 52 L. T. N. S. 646.

(f) *Morse v. Royal*, 12 Ves. 372, per Lord Erskine.

(g) *Downes v. Grazebrook*, 3 Mer. 208, per Lord Eldon.

(h) *Gibson v. Jeyes*, 6 Ves. 277, per Lord Eldon; and see *Ex parte Lacey*, 6 Ves. 626, 627; *Ex parte Bennett*, 10 Ves. 394; *Morse v. Royal*, 12 Ves. 373; *Sanderson v. Walker*, 13 Ves. 601; [*Re Worssam*, 46 L. T. N. S. 584.]